



FINANCIAL REPORTING COUNCIL OF NIGERIA
(Federal Ministry of Industry, Trade & Investment)

FRC/CG/001: TEMPLATE FOR REPORTING COMPLIANCE WITH THE NIGERIAN CODE OF CORPORATE GOVERNANCE 2018

Section A: Introduction

Corporate Governance is a key driver of corporate accountability and business prosperity. The Nigerian Code of Corporate Governance, 2018 (NCCG 2018) seeks to institutionalize corporate governance best practices in Nigerian companies. It is also aimed at increasing entities' levels of transparency, trust and integrity, and creating an environment for sustainable business operations.

The Code adopts a principle-based approach in specifying minimum standards of practice that companies should adopt. Where so required, companies are required to adopt the "Apply and Explain" approach in reporting on compliance with the Code. The 'Apply and Explain' approach assumes the application of all principles and requires entities to explain how the principles are applied. This requires companies to demonstrate how the specific activities they have undertaken best achieve the outcomes intended by the corporate governance principles specified in the Code.

This will help to prevent a 'box ticking exercise as companies deliberately consider how they have (or have not) achieved the intended outcomes. Although the Code recommends practices to enable companies to apply the principles, it recognizes that these practices can be tailored to meet industry or company needs. The Code is thus scalable to suit the type, size and growth phase of each company while still achieving the outcomes envisaged by the principles.

This form seeks to assess the company's level of compliance with the principles in the NCCG 2018. Entities should explain how these principles have been applied, specify areas of deviation from the principles and give reasons for these deviations and any alternative practice(s) adopted.

Please read the instructions below carefully before completing this form:

- i. Every line item and indicator must be completed.
- ii. Respond to each question with "Yes" where you have applied the principle, and "No" where you are yet to apply the principle.
- iii. An explanation of how you are applying the principle or otherwise should be included as part of your response.
- iv. Not Applicable (N/A) is not a valid response.

Section B – General Information

S/No.	Items	Details
i.	Company Name	Chemical and Allied Products PLC
ii.	Date of Incorporation	September 21, 1965
iii.	RC Number	4551
iv.	License Number	It is not a requirement for the company.
v.	Company Physical Address	2, Adeniyi Jones Avenue, Ikeja, Lagos.
vi.	Company Website Address	www.capplc.com
vii.	Financial Year End	December 31
viii.	Is the Company a part of a Group/Holding Company? Yes/No If yes, please state the name of the Group/Holding Company	Yes. UAC of Nigeria PLC
ix.	Name and Address of Company Secretary	Mrs. Aramide Nwokediuko 2, Adeniyi Jones Avenue, Ikeja, Lagos.
x.	Name and Address of External Auditor(s)	KPMG Professional Services KPMG Tower, Bishop Aboyade Cole, Victoria Island, Lagos.
xi.	Name and Address of Registrar(s)	Africa Prudential PLC 220b, Ikorodu Road, Palmgrove, Lagos.
xii.	Investor Relations Contact Person (E-mail and Phone No.)	Investor Relations InvestorRelations@capplc.com
xiii.	Name of Corporate Governance Assessment Consultant	Deloitte and Touche
xiv.	Name of Board Evaluation Consultant	Deloitte and Touche

Section C - Details of Board of the Company and Attendance at Meetings

1. Board Details:

S/No	Board Members	Designation	Gender	Date First Appointed/ Elected	Remark
1.	Mr. Folasope Aiyesimoju <i>(Appointed as Chairman effective June 15, 2023)</i>	Chairman / Non-Executive Director	Male	October 5, 2021	Board Chair
2.	Mrs. Bolarin Okunowo <i>(appointed as Managing Director effective December 1, 2021)</i>	Managing Director	Female	May 31, 2019	Managing Director
3.	Mrs. Udo Okonjo	Independent Non-Executive Director	Female	August 1, 2019	Independent Non-Executive Director
4.	Dr. Babs Omotowa	Independent Non-Executive Director	Male	June 17, 2022	Independent Non-Executive Director <i>(retired on June 5, 2025)</i>
5.	Mrs. Muhibat Abbas	Independent Non-Executive Director	Female	May 31, 2019	Independent Non-Executive Director
6.	Mr. Adebolanle Badejo	Non-Executive Director	Male	July 21, 2023	Non-Executive Director
7.	Dr. Vitus Ezinwa	Non-Executive Director	Male	June 17, 2021	Non-Executive Director
8.	Dr. Oladele Ajayi	Non-Executive Director	Male	June 12, 2025	Non-Executive Director

2. Attendance at Board and Committee Meetings:

S/No	Board Members	Number of Board Meetings Held	Number of Board Meetings Attended	Designation/Membership of Committees	Number of Committee meetings held	Number of Committee meetings attended
1	Mr. Folasope Aiyesimoju	5	5	Not a member of any Committee as he is the Chairman of the Board	Not a member of any Committee.	Not a member of any Committee.
2	Mrs. Bolarin Okunowo	5	5	BRMC (M)	4	4
3	Mrs. Udo Okonjo	5	5	BRGC (C) BAC (M) SAC (M)	3 4 4	3 4 4
4	Mrs. Muhibat Abbas	5	5	BAC (C) BRMC (M) SAC (M)	4 4 4	4 4 4
5	Dr. Vitus Ezinwa	5	5	BRGC (M) BAC (M)	3 4	3 4
6	Dr. Oladele Ajayi	5	2	BRMC (M) BRGC (M)	4 3	2 2
7	Dr. Babs Omotowa	5	2	BRMC (M) BRGC (M)	4 3	2 1 <i>(NLM due to retirement on June 5, 2025)</i>
8	Mr. Adebolanle Badejo	5	5	BRMC (C)	4	4

*Keys

- BAC: Board Audit Committee
- BRGC: Board Remuneration & Governance Committee
- BRMC: Board Risk Management Committee
- C: Chairperson/Chairman
- M: Member
- NLM: No Longer a Member
- SAC: Statutory Audit Committee

Section D – Details of Senior Management of the Company

Senior Management.

S/No	Names	Position Held	Gender
1	Bolarin Okunowo	Managing Director	Female
2	Jethro Iruobe	Chief Operating Officer	Male
3	Aramide Nwokediuko	Company Secretary & Head of Corporate Services	Female
4	Olalekan Aluko	Chief Supply Chain Officer	Male
5	Sulaiman Iromini	Chief Financial Officer	Male
6	Oyelere Atoyebi	Head of Commercial	Male
7	Tunji Rabi	Internal Auditor	Male

Section E – Application

Principles	Reporting Questions	Explanation on application or deviation
Part A - Board of Directors and Officers of the Board		
Principle 1: Role of the Board <i>“A successful Company is headed by an effective Board which is responsible for providing entrepreneurial and strategic leadership as well as promoting ethical culture and responsible corporate citizenship. As a link between stakeholders and the Company, the Board is to exercise oversight and control to ensure that management acts in the best interest of the shareholders and other stakeholders while sustaining the prosperity of the Company”</i>	i) Does the Board have an approved Charter which sets out its responsibilities and terms of reference? Yes/No. If yes, when was it last reviewed?	Yes, the Board has an approved Charter that sets out, among other things, the composition, structure, scope, roles, processes, and procedures of the Company's Board of Directors. The Charter was approved in 2022.
Principle 2: Board Structure and Composition	i) What are the qualifications and experiences of the directors?	The Board comprises of the following members with their respective experience: i) A Finance Professional with over 18 years' experience.

Principles	Reporting Questions	Explanation on application or deviation
<i>“The effective discharge of the responsibilities of the Board and its committees is assured by an appropriate balance of skills and diversity (including experience and gender) without compromising competence, independence and integrity “</i>		ii) A Finance Specialist with over 18 years’ experience. iii) A Business Leader with over 21 years’ experience. iv) A Legal Practitioner with over 31 years’ experience, v) A Chartered Accountant with over 31 years’ experience. vi) A Human Resources professional with 27 years’ experience. vii) A Finance and Investment professional with over 17 years’ experience.
	ii) Does the company have a Board-approved diversity policy? Yes/No If yes, to what extent have the diversity targets been achieved?	Yes, the Board has an approved diversity policy. The company boasts of a strong and diverse board comprised of three (3) female and four (4) male directors, representing a good gender mix. This leadership group represents Nigeria's diverse culture, with members from various tribes and practicing Islam and Christianity. This diversity extends to their professional backgrounds, with directors holding qualifications in Finance, Law, Accountancy, Economics, Human Resources, and Business Administration. This combination of gender balance, geographic and cultural understanding, and multi-disciplinary expertise ensures well-rounded decision-making for the Company's success.
	iii) Are there directors holding concurrent directorships? Yes/No If yes, state the names of the directors and the companies?	Yes. Mr. Folasope Aiyesimoju • UAC of Nigeria PLC • Grand Cereals Limited • UAC Foods Limited • UAC Restaurants Limited • UPDC PLC • MDS Logistics Limited • Juven Holdings • Themis Capital Management • Themis Consulting Services • AM&P Advisory Services • Foodpro Limited Mrs. Bolarin Okunowo • Independent Non-Executive Director, Wema Bank PLC

Principles	Reporting Questions	Explanation on application or deviation
		Mrs. Muhibat Abbas - Non-Executive Director, Leonine Investment & Advisory Services Limited Mrs. Udo Okonjo - Fine and Country West Africa. - Prestige Capital Ltd - Ignite Africa Resources Dr. Oladele Ajayi - Non-Executive Director, Grand Cereals Limited - Non-Executive Director, UDPC PLC - Non-Executive Director, MDS Logistics Limited - Non-Executive Director, Molly Specialist Hospital Dr. Vitus Ezinwa - Grand Cereals Limited. - NO Surprises Events Limited Mr. Adebolanle Badejo - UAC of Nigeria PLC - Livestock Feeds PLC - UAC Foods Limited - MDS Logistics Limited - Grand Cereals Limited
	(iv) Is the MD/CEO or an Executive Director a chair of any Board Committee? Yes/No If yes, provide the names of the Committees.	No, the Managing Director does not chair any Board Committees.
Principle 3: Chairman <i>“The Chairman is responsible for providing overall leadership of the Company and the Board, and eliciting the constructive participation of all Directors to facilitate effective direction of the Board”</i>	i) Is the Chairman a member or chair of any of the Board Committees? Yes/no. If yes, list them.	No, the Chairman is not a chair or member of any Board Committee.
	ii) At which Committee meeting(s) was the Chairman in attendance during the period under review?	The Chairman did not attend any Board Committee meeting, in view of his position.
	iii) Is the Chairman an INED or a NED?	The Chairman is a NED.
	iv) Is the Chairman a former MD/CEO or ED of the Company? Yes/No If yes, when did his/her tenure as MD end?	No, the Chairman is not a former MD/CEO or ED of the Company.
	v) When was he/she appointed as Chairman?	15 th June 2023.

Principles	Reporting Questions	Explanation on application or deviation
	vi) Are the roles and responsibilities of the Chairman clearly defined? Yes/No If yes, specify which document	Yes, the role of the Chairman is defined in the Board Charter and Letter of Appointment
Principle 4: Managing Director/ Chief Executive Officer <i>“The Managing Director/Chief Executive Officer is the head of management delegated by the Board to run the affairs of the Company to achieve its strategic objectives for sustainable corporate performance”</i>	i) Does the MD/CEO have a contract of employment which sets out his authority and relationship with the Board? Yes/No. If no, in which documents is it specified?	Yes. Her contract of employment sets out her authority and relationship with the Board.
	ii) Does the MD/CEO declare any conflict of interest on appointment, annually, thereafter and as they occur? Yes/No	Yes, conflict of interest is declared on appointment, on an annual basis and upon occurrence.
	iii) Which of the Board Committee meetings did the MD/CEO attend during the period under review?	The MD attends the Board Risk Management Committee, as a member. She is also invited to some meetings of the Remuneration and Governance Committee to give reports.
	iv) Is the MD/CEO serving as NED in any other company? Yes/no. If yes, please state the company(ies)?	The MD serves as an Independent Non-Executive Director of WEMA Bank PLC.
	v) Is the membership of the MD/CEO in these companies in line with the Board-approved policies? Yes/No	Yes
Principle 5: Executive Directors <i>Executive Directors support the Managing Director/Chief Executive Officer in the operations and management of the Company</i>	i) Do the EDs have contracts of employment? Yes/no	The Company currently has no other ED apart from the Managing Director.
	ii) If yes, do the contracts of employment set out the roles and responsibilities of the EDs? Yes/No If no, in which document are the roles and responsibilities specified?	The Company currently has no other ED apart from the Managing Director.
	iii) Do the EDs declare any conflict of interest on appointment, annually, thereafter and as they occur? Yes/No	The Company currently has no other ED apart from the Managing Director.
	iv) Are there EDs serving as NEDs in any other company? Yes/No, If yes, please list	N/A
	v) Are their memberships in these companies in line with Board-approved policy? Yes/No	N/A
Principle 6: Non-Executive Directors	i) Are the roles and responsibilities of the NEDs clearly defined and	Yes. The roles and responsibilities of the NEDs are clearly defined in the Board

Principles	Reporting Questions	Explanation on application or deviation
<i>Non-Executive Directors bring to bear their knowledge, expertise and independent judgment on issues of strategy and performance on the Board</i>	documented? Yes/No If yes, where are these documented?	Governance Charter and in their respective letters of appointment.
	ii) Do the NEDs have letters of appointment specifying their duties, liabilities and terms of engagement? Yes/No	Yes, each NED has a letter of appointment that sets out their duties, liabilities, and terms of engagement.
	iii) Do the NEDs declare any conflict of interest on appointment, annually, thereafter and as they occur? Yes/No	Yes. NEDs declare conflict of interest upon appointment, on an annual basis and upon occurrence.
	iv) Are NEDs provided with information relating to the management of the company and on all Board matters? Yes/No If yes, when is the information provided to the NEDs	Yes, this is provided on an ongoing basis. The Board books for quarterly Board and Committee Meetings contain sufficient information about the finances, management, operation, and affairs of the company. Additionally, NEDs are provided with quarterly unaudited accounts and audited accounts once a year.
	v) What is the process of ensuring completeness and adequacy of the information provided?	This is achieved through a multi-layered process: Preparation of Board Materials: Management is responsible for preparing comprehensive Board and committee meeting materials (Board books) well in advance of meetings. These materials detail key issues, financial performance data, relevant risks and opportunities, and proposed resolutions. Internal Audit Involvement: The internal audit function plays a critical role in ensuring information accuracy. Internal auditors review and may contribute to Board materials, providing independent assessments of company processes and controls. Company Secretary Oversight: The Company Secretary acts as a gatekeeper for information flow to the Board. They ensure all materials are accurate, complete, and presented in a clear and concise manner for Board comprehension. Management Presentations: During Board meetings, the Managing Director and members of Senior

Principles	Reporting Questions	Explanation on application or deviation
		Management (as required) present key information and answer any questions from directors. This interactive format allows for deeper understanding and clarification. External Auditor Involvement: The Company's External Auditors may be invited to attend specific Board meetings to provide independent insights on the financial statements and any relevant accounting matters. Director Inquiries: NEDs (Non-Executive Directors) have unfettered access to request and receive additional information they deem necessary to fulfill their oversight responsibilities. The Company Secretary facilitates this process. Continuous Improvement: The Board regularly reviews and evaluates the effectiveness of the information flow process. This ensures ongoing improvement and adaptation to meet the Board's evolving needs and the company's changing circumstances
	vi) Do NEDs have unfettered access to the EDs, Company Secretary and the Internal Auditor? Yes/No	Yes, NEDs have established communication channels to reach out to the Company Secretary, and the Internal Auditor at any time. This may involve scheduled meetings, informal discussions, or written communication. NEDs are also entitled to request and receive any information they deem necessary to fulfill their duties. The Company Secretary plays a crucial role in ensuring timely access to relevant information.
Principle 7: Independent Non-Executive Directors <i>Independent Non-Executive Directors bring a high degree of objectivity to the Board for sustaining</i>	i) Do the INEDs meet the independence criteria prescribed under Section 7.2 of the Code? Yes/No	Yes, the INEDs meet the independence criteria as prescribed.
	ii) Are there any exceptions?	No, there are no exceptions.
	iii) What is the process of selecting INEDs?	The process includes the profiling of candidates who are not shareholders, have not served in the Company in any capacity before and are not a representative of any

Principles	Reporting Questions	Explanation on application or deviation
<i>stakeholder trust and confidence"</i>		shareholder. The Company takes guidance from the provisions of relevant laws on factors affecting independence in the selection process.
	iv) Do the INEDs have letters of appointment specifying their duties, liabilities and terms of engagement? Yes/No	Yes.
	v) Do the INEDs declare any conflict of interest on appointment, annually, thereafter and as they occur? Yes/No	Yes. INEDs declare conflict of interest upon appointment, on an annual basis, and as they occur.
	vi) Does the Board ascertain and confirm the independence of the INEDs? Yes/No If yes, how often? What is the process?	Yes. Confirmation is done annually. A questionnaire outlining criteria based on applicable law is filled out by the INEDs. The completed questionnaires are then assessed by the Company Secretary and a report thereon presented to the Remuneration and Governance Committee and the Board.
	vii) Is the INED a Shareholder of the Company? Yes/No If yes, what is the percentage shareholding?	No. The Company currently has two (2) INEDs, and they do not hold shares in the Company.
	viii) Does the INED have another relationship with the Company apart from directorship and/or shareholding? Yes/No If yes, provide details.	No, they do not.
	ix) What are the components of INEDs remuneration?	1) Director's Fees 2) Sitting Allowances 3) Travel Allowances 4) Paint Allowance
Principle 8: Company Secretary <i>"The Company Secretary support the effectiveness of the Board by assisting the Board and management to develop good corporate governance practices and culture within the Company"</i>	i) Is the Company Secretary in-house or outsourced?	The Company Secretary is In-House.
	ii) What is the qualification and experience of the Company Secretary?	LLB; BL The Company Secretary is a Legal Practitioner with over 16 years' cognate experience.
	iii) Where the Company Secretary is an employee of the Company, is the person a member of senior management?	Yes
	iv) Who does the Company Secretary report to?	To the Board (through the Chairman) on functional matters, and to the Managing Director on administrative and other matters.
	v) What is the appointment and removal process of the Company Secretary?	The appointment and removal of the Company Secretary is in line with Section

Principles	Reporting Questions	Explanation on application or deviation
		333 of the Companies and Allied Matters Act (CAMA), 2020.
	vi) Who undertakes and approves the performance appraisal of the Company Secretary?	The Board through the Remuneration and Governance Committee.
Principle 9: Access to Independent Advice <i>“Directors are sometimes required to make decisions of a technical and complex nature that may require independent external expertise”</i>	i) Does the company have a Board-approved policy that allows directors access to independent professional advice in the discharge of their duties? Yes/No . If yes, where is it documented?	Yes. The Company issued a Policy on Accessing Independent Professional Advice in 2021, which sets out guidelines for directors to access independent professional advice and make robust and well-informed decisions in discharging their duties.
	ii) Who bears the cost for the independent professional advice?	The Company bears the cost of obtaining the professional advice, subject to the Policy as stated in Principle 9 (i) above.
	iii) During the period under review, did the Directors obtain any independent professional advice? Yes/No If yes, provide details.	The Board commissioned a culture check exercise on employees titled “Project Compass”.
Principle 10: Meetings of the Board <i>“Meetings are the principal vehicle for conducting the business of the Board and successfully fulfilling the strategic objectives of the Company”</i>	i) What is the process for reviewing and approving minutes of Board meetings?	The Board reviews the minutes of its last meeting at the subsequent meeting and approves same thereat.
	ii) What are the timelines for sending the minutes to Directors?	Minutes of previous meetings are sent well ahead of subsequent meetings.
	iii) What are the implications for Directors who do not meet the Company policy on meeting attendance?	Such Directors will be advised accordingly. Meeting attendance is a consideration in the performance evaluation of each Board member.
Principle 11: Board Committees <i>“To ensure efficiency and effectiveness, the Board delegates some of its functions, duties and responsibilities to well-structured committees, without abdicating its responsibilities”</i>	i) Do the Board Committees have Board-approved Charters which set out their responsibilities and terms of reference? Yes/No	Yes. There are charters for all the three (3) Board Committees.
	ii) What is the process for reviewing and approving minutes of Board Committee meetings?	Minutes of Board Committee meetings are reviewed by the Committees at subsequent meetings and approved thereat.
	iii) What are the timelines for sending the minutes to the directors?	Minutes of previous meetings are sent well ahead of subsequent meetings.
	iv) Who acts as Secretary to board committees?	The Company Secretary.
	v) What Board Committees are responsible for the following matters? a) Nomination and Governance b) Remuneration c) Audit d) Risk Management	a) The Board Remuneration and Governance Committee is responsible for matters relating to nomination, governance and remuneration. b) The Board Audit Committee is responsible for matters relating to Audit.

Principles	Reporting Questions	Explanation on application or deviation
		c) The Board Risk Management Committee is responsible for matters relating to risk management.
	vi) What is the process of appointing the chair of each committee?	The Chairs of the respective Committees are appointed by the Board.
	Committee responsible for Nomination and Governance	
	vii) What is the proportion of INEDs to NEDs on the Committee responsible for Nomination and Governance?	One (1) INED and two (2) NEDs.
	viii) Is the chairman of the Committee a NED or INED?	The Chairperson of the Remuneration and Governance Committee is an INED.
	ix) Does the Company have a succession plan policy? Yes/No If yes, how often is it reviewed?	Yes. It is reviewed when the need arises.
	x) How often are Board and Committee charters as well as other governance policies reviewed?	The charters are reviewed from time to time to bring the provisions in line with relevant laws.
	xi) How does the committee report on its activities to the Board?	A report of the meeting is prepared by the Chair of each committee (assisted by the Company Secretary) and presented by the Chair to the Board during its meeting.
	Committee responsible for Remuneration	
	xii) What is the proportion of INEDs to NEDs on the Committee responsible for Remuneration?	One (1) INED and two (2) NEDs.
	xiii) Is the chairman of the Committee a NED or INED?	The Chairperson of the Remuneration and Governance Committee is an INED.
	Committee responsible for Audit	
	xiv) Does the Company have a Board Audit Committee separate from the Statutory Audit Committee? Yes/No	Yes, it does.
	xv) Are members of the Committee responsible for Audit financially literate? Yes/No	Yes, they are.
	xvi) What are their qualifications and experience?	Members of the Board Audit Committee comprise of: i) a Chartered Accountant with over 30 years of cognate experience, ii) a Legal Practitioner and Business Owner with 30 years' experience, iii) a Human Resources and Management professional with 26 years' experience

Principles	Reporting Questions	Explanation on application or deviation
	xvii) Name the financial expert(s) on the Committee responsible for Audit	Mrs. Muhibat Abbas. She is a Fellow of the Institute of Chartered Accountants of Nigeria and has over thirty years' experience in Internal Audit, Financial Accounting, Management Accounting, Treasury Management, and Pension Fund Administration.
	xviii) How often does the Committee responsible for Audit review the internal auditor's reports?	On a quarterly basis
	xix) Does the Company have a Board approved internal control framework in place? Yes/No	Yes.
	xx) How does the Board monitor compliance with the internal control framework?	The Head, Risk and Compliance and the Internal Auditor's Report on compliance with the internal control framework at every Risk Management and Audit Committee Meeting.
	xxi) Does the Committee responsible for Audit review the External Auditors management letter, Key Audit Matters and management response to issues raised? Yes/No Please explain.	Yes. The Management Letter, key audit matters (if any) and Management's Response are reviewed by the Board Audit Committee and the Statutory Audit Committee.
	xxii) Is there a Board-approved policy that clearly specifies the non-audit services that the external auditor shall not provide? Yes/No	Yes.
	xxiii) How many times did the Audit Committee hold discussions with the head of internal audit function and external auditors without the management during the period under review?	At least, once a year.
	Committee responsible for Risk Management	
	xxiv) Is the Chairman of the Risk Committee a NED or an INED?	The Chairman of the Risk Management Committee is a NED.
	xxv) Is there a Board approved Risk Management framework? Yes/No? If yes, when was it approved?	Yes.
	xxvi) How often does the Committee review the adequacy and effectiveness of the Risk Management Controls in place? Date of last review	Quarterly October 2025

Principles	Reporting Questions	Explanation on application or deviation
	xxvii) Does the Company have a Board-approved IT Data Governance Framework? Yes/No . If yes, how often is it reviewed?	Yes, every year.
	xxviii) How often does the Committee receive and review compliance report on the IT Data Governance Framework?	The Risk Management Committee reviews the I.T. Data Governance Framework on an annual basis.
	xxix) Is the Chief Risk Officer (CRO) a member of Senior Management and does he have relevant experience for this role? Yes/No	The Head of the Risk and Compliance Unit has the relevant experience, and is a member of the Extended Leadership Team and reports to the Managing Director and Risk Management Committee.
	xxx) How many meetings of the Committee did the CRO attend during the period under review?	Four (4)
Principle 12: Appointment to the Board <i>"A written, clearly defined, rigorous, formal and transparent procedure serves as a guide for the selection of Directors to ensure the appointment of high-quality individuals to the Board"</i>	i) Is there a Board-approved policy for the appointment of Directors? Yes/No	Yes.
	ii) What criteria are considered for their appointment?	Qualifications, expertise, experience and diversity.
	iii) What is the Board process for ascertaining that prospective directors are fit and proper persons?	The Board applies the provisions of Section 283 of the Companies and Allied Matters Act, 2020 in the appointment of its Directors.
	iv) Is there a defined tenure for the Chairman, MD/CEO, INED, NED, EDs	The Company applies the provisions of Section 285 of the Companies and Allied Matters Act, 2020, in the tenure of all its Directors and Principle 7.2.9 of the NCCG 2018, in the tenure of its INEDs. The tenure of the Managing Director, being an ED is contained in her contract of service. Currently, there is no other ED on the Board. The NEDs are rotated in accordance with the provisions of CAMA and may stand for re-election until they attain the age of Seventy (70) years. There is no defined tenure for the Chairman.
	v) Please state the tenure	The preceding response is applicable here.
	vi) Does the Board have a process to ensure that it is refreshed periodically? Yes/No?	Yes
	i) Does the Board have a formal induction programme for new directors? Yes/No	Yes

Principles	Reporting Questions	Explanation on application or deviation
Principle 13: Induction and Continuing Education <i>“A formal induction programme on joining the Board as well as regular training assists Directors to effectively discharge their duties to the Company”</i>	ii) During the period under review, were new Directors appointed? Yes/No If yes, provide date of induction.	A new Director was appointed by the Board during the period under review. The induction exercise for the new Director was conducted on the 8 th and 17 th of July, 2025.
	iii) Are Directors provided relevant training to enable them to effectively discharge their duties? Yes/No If yes, provide training details.	The Directors are provided relevant training to enable them to effectively discharge their duties. Every newly appointed Director receives a comprehensive letter of appointment detailing the terms of reference and composition of the Board and Board committee, schedule of Board meetings, his/her entitlements and demand on their time as a result of the appointment. The letter of appointment is accompanied with the Memorandum and Articles of Association of the Company, the previous year's Annual Report and Financial Statements, the Code of Corporate Governance for Public Companies in Nigeria, the Company's Code of Business Conduct, and other documents, policies, processes and procedures of the Company that help the director gain understanding of the Company, its history, culture, values, business principles, people, projects, processes and plan. A new Director undergoes an induction for him/her to get acquainted with the business operations, issues and brands of the Company. As part of the induction process, he/she is introduced to the Directors, members of the Leadership Team, Company's operations and trade partners including Dulux partners and Sandtex franchisees.
	iv) How do you assess the training needs of Directors?	We benchmark the output of Directors against best practices and the current regulations to organize training that meets their needs. Also, the result of the Board Evaluation Exercise is used to determine relevant training for Directors.
	v) Is there a Board-approved training plan? Yes/No	No

Principles	Reporting Questions	Explanation on application or deviation
	vi) Has it been budgeted for? Yes/No	No
Principle 14: Board Evaluation <i>“Annual Board evaluation assesses how each Director, the committees of the Board and the Board are committed to their roles, work together and continue to contribute effectively to the achievement of the Company’s objectives”</i>	i) Is there a Board-approved policy for evaluating Board performance? Yes/No	Yes
	ii) For the period under review, was there any Board Evaluation exercise conducted? Yes/No	Yes. The Board Evaluation was done between January, 2026 – February, 2026.
	iii) If yes, indicate whether internal or external. Provide date of last evaluation.	External. January, 2026 – February, 2026.
	iv) Has the Board Evaluation report been presented to the full Board? Yes/No If yes, indicate date of presentation.	No. It is to be presented at the Board Meeting of March 2026.
	v) Did the Chairman discuss the evaluation report with the individual directors? Yes/No	Yes.
	vi) Is the result of the evaluation for each Director considered in the re-election process? Yes/No	Yes.
Principle 15: Corporate Governance Evaluation <i>“Institutionalizing a system for evaluating the Company’s corporate governance practices ensures that its governance standards, practices and processes are adequate and effective”</i>	i) For the period under review, has the Company conducted a corporate governance evaluation? Yes/No If yes, provide date of the evaluation.	Yes. The Corporate Governance Evaluation was done between January, 2026 – February, 2026.
	ii) Is the result of the Corporate Governance Evaluation presented and considered by the Board? Yes/No	Yes. It is to be presented at the Board Meeting of March 2026.
	iii) If yes, please indicate the date of last presentation.	27 th March, 2025.
	iv) Is the summary of the Corporate Governance Evaluation included in the annual reports and Investors portal? Yes/No	Yes. This will be contained in the Company’s Annual Report for 2025.
Principle 16: Remuneration Governance <i>“The Board ensures that the Company remunerates fairly, responsibly and transparently so as to</i>	i) Is there a Board-approved Directors’ remuneration policy? Yes/No If yes, how often is it reviewed?	Yes. It is reviewed when the need arises.
	ii) Provide details of directors’ fees, allowances and all other benefits paid to them during the period under review	- Basic Salary: This is part of the gross salary package for the Managing Director only. - Director’s Fee: This is paid annually to Non-Executive Directors only.

Principles	Reporting Questions	Explanation on application or deviation
<i>promote the achievement of strategic objectives and positive outcomes in the short, medium and long term”</i>		• Travel Allowances: This is paid annually to all Directors. • Sitting Allowances: This is paid to Non-Executive Directors only after attendance at each meeting. • Paint Allowance: This is provided to the Managing Director and Non-Executive Directors.
	iii) Is the remuneration of NEDS presented to shareholders for approval? Yes/No If yes, when was it approved?	Yes. At the Annual General Meeting on June 5, 2025.
	iv) What portion of the NEDs remuneration is linked to company performance?	None
	v) Is there a Board-approved remuneration policy for Executive and Senior management? Yes/No If yes, to what extent is remuneration linked to company performance?	Yes. Bonuses payable are linked to individual and corporate performance
	vi) Has the Board set KPIs for Executive Management? Yes/No	Yes.
	vii) If yes, was the performance measured against the KPIs? Yes/No	Yes.
	viii) Do the MD/CEO, EDs and Company Secretary receive a sitting allowance and/or directors’ fee? Yes/No	No.
	ix) Which of the following receive sitting allowance and/or fees: a. MD/CEO, ED, Company Secretary, other senior management staff	None.
	x) Is there a Board-approved clawback policy for Executive management? Yes/No . If yes, attach the policy.	Yes, the Clawback policy is attached.
Principle 17: Risk Management <i>“A sound framework for managing risk and ensuring an effective internal control system is essential for achieving the strategic objectives of the Company”</i>	i) Has the Board defined the company’s risk appetite and limit? Yes/No	Yes.
	ii) How often does the company conduct a risk assessment?	As the need arises
	iii) How often does the board receive and review risk management reports?	Quarterly

Principles	Reporting Questions	Explanation on application or deviation
Principle 18: Internal Audit <i>“An effective internal audit function provides assurance to the Board on the effectiveness of the governance, risk management and internal control systems”</i>	i) Does the company have an Internal Audit function? Yes/No. If no, how has the Board obtained adequate assurance on the effectiveness of internal processes and systems?	Yes.
	ii) Does the company have a Board-approved internal audit charter? Yes/No	Yes
	iii) Is the head of internal audit a member of senior management? Yes/No	The Internal Auditor is a member of Senior Management of the Company.
	iv) What is the qualification and experience of the head of internal audit?	A Chartered Professional Accountant with over 20 years’ experience in Internal Audit, Risk Management, and Financial and Operation audits.
	v) Does the company have a Board-approved annual risk-based internal audit plan? Yes/No	Yes
	vi) Does the head of the internal audit function report at least once every quarter to the committee responsible for audit, on the adequacy and effectiveness of management, governance, risk and control environment; deficiencies observed and management mitigation plans? Yes/No	Yes.
	vii) Is there an external assessment of the effectiveness of the internal audit function at least once every three years by a qualified independent reviewer appointed by the Board? Yes/No. If yes, when was the last assessment?	Not yet. The Internal Auditor was appointed in Q4, 2023.
	viii) Who undertakes and approves the performance evaluation of the Head of Internal Audit?	The Board Audit Committee undertakes the performance evaluation, and the Board approves the same evaluation.
Principle 19: Whistleblowing <i>“An effective whistleblowing framework for reporting any illegal or unethical behaviour minimises the Company's exposure</i>	i) Does the company have a Board-approved whistleblowing framework? Yes/No If yes, when was the date of last review	Yes. February 2021
	ii) Does the Board ensure that the whistleblowing mechanism and process are reliable, accessible to all stakeholders, guarantees anonymity and	Yes

Principles	Reporting Questions	Explanation on application or deviation
and prevents recurrence”	protection of the whistleblower? Yes/No	
	iii) Is the Audit Committee provided with the following reports on a periodic basis? a) Reported cases. b) Process and results of Investigated cases	Yes, the Audit Committee receives quarterly whistleblowing reports.
Principle 20: External Audit <i>“An external auditor is appointed to provide an independent opinion on the true and fair view of the financial statements of the Company to give assurance to stakeholders on the reliability of the financial statements”</i>	i) Who makes the recommendations for the appointment, re-appointment, or removal of external auditors?	The Board Audit Committee and the Statutory Audit Committee.
	ii) Who approves the appointment, re-appointment, and removal of External Auditors?	The shareholders at the AGM.
	iii) When was the first date of appointment of the External auditors?	June 17, 2021
	iv) How often are the audit partners rotated?	Every five (5) years.
Principle 21: General Meetings <i>“General Meetings are important platforms for the Board to engage shareholders to facilitate greater understanding of the Company’s business, governance and performance. They provide shareholders with an opportunity to exercise their ownership rights and express their views to the Board on any areas of interest”</i>	i) How many days prior to the last general meeting were notices, annual reports and any other relevant information dispatched to Shareholders?	Thirty-Two (32) days
	ii) Were the Chairmen of all Board Committees and the Chairman of the Statutory Audit Committee present to respond to Shareholders’ enquiries at the last meeting? Yes/No	Yes.
Principle 22: Shareholder Engagement <i>“The establishment of a system of regular dialogue with shareholders balance their needs, interests and expectations with the objectives of the Company”</i>	i) Is there a Board-approved policy on shareholders’ engagement? Yes/No . If yes: a) when was it last reviewed? b) Is the policy hosted on the company’s website?	Yes. It was last reviewed and approved in February 2021. Yes. The Policy is hosted on the Company’s website - www.capplc.com
	ii) How does the Board engage with Institutional Investors and how often?	The Investor Relations Section of the Company’s website contains information on the Company’s Audited Accounts. As a Company listed on the Main Board of the Nigerian Exchange Limited (“NGX”), CAP PLC is required to notify the NGX

Principles	Reporting Questions	Explanation on application or deviation
		via the Issuer's Portal of any event that has occurred in the Company of which Shareholders should be aware.
Principle 23: Protection of Shareholder Rights <i>"Equitable treatment of shareholders and the protection of their statutory and general rights, particularly the interest of minority shareholders, promote good governance"</i>	i) Does the Board ensure that adequate and timely information is provided to the shareholders on the Company's activities? Yes/No	Yes.
Principle 24: Business Conduct and Ethics <i>"The establishment of professional business and ethical standards underscore the values for the protection and enhancement of the reputation of the Company while promoting good conduct and investor confidence"</i>	i) Does the company have a Board-approved Code of Business Conduct and Ethics (COBE) that guides the professional business and ethical standards? Yes/No . If yes: a) Has the COBE been communicated to all internal and external Stakeholders? Yes/No b) Is the COBE applicable to any or all of the following: 1. Board 2. Senior management 3. Other employees 4. Third parties	Yes, the Company has an approved Code of Business Conduct and Ethics (COBE). Yes, it has been communicated to all internal and external stakeholders. The COBE is applicable to all Board Members, Senior Management, Other Employees and third parties.
	ii) When was the date of last review of the policy?	March 2022.
	iii) Has the Board incorporated a process for identifying, monitoring and reporting adherence to the COBE? Yes/No	Yes
	iv) What sanctions were imposed for the period under review for non-compliance with the COBE?	Sanctions for breach of Company Policy are imposed in line with the provisions of the Company's Employee Handbook and policies.
Principle 25: Ethical Culture <i>"The establishment of policies and mechanisms for monitoring insider trading, related party transactions, conflict of</i>	i) Is there a Board- approved policy on insider trading? Yes/No If yes: a) When was the last date of review? b) How does the Board monitor compliance with this policy?	Yes. December 2015. The Board monitors Compliance through the Company Secretary, who obtains details of dealings in the Company's Securities at relevant times from the Registrars. The Secretariat follows the applicable regulations in the NGX

Principles	Reporting Questions	Explanation on application or deviation
<i>interest and other corrupt activities, mitigates the adverse effects of these abuses on the Company and promotes good ethical conduct and investor confidence”</i>		Rulebook to ensure that there is no incidence of Insider Trading. The Company Secretary also regularly notifies the Board and all insiders of Closed Periods for trading in the Company’s shares
	ii) Does the company have a Board approved policy on related party transactions? Yes/No. If yes: a) When was the last date of review? b) How does the Board monitor compliance with this policy? c) Is the policy applicable to: 1. Board 2. Senior management 3. Other employees (Specify) 4. Third parties (Specify)	Yes. December 2020. The Board monitors compliance via the Audit Committee and the Finance Team. The Policy is applicable to all Board Members, Senior Management, Other Employees (both those on full employment and those on contracts) and third parties (this includes the Company’s Contractors, Consultants, Distributors of its products etc).
	iii) How does the Board ensure adequate disclosure of Related Party Transactions by the responsible parties?	The Board ensures that related party transactions (if any) are stated in the Annual Reports.
	iv) Does the company have a Board-approved policy on conflict of interest? Yes/No. If yes: a) When was the last date of review? b) How does the Board monitor compliance with this policy? c) Is the policy applicable to: 1. Senior management 2. Other employees (Specify)	Yes. December 2020 The Company administers a questionnaire to all its employees on an annual basis to declare conflicts of interest (if any). The directors are also required to fill out and submit a declaration form on an annual basis (or as frequently as a conflict arises) and submit it to the Board through the Company Secretary. The Policy is applicable to Senior Management and Other Employees (who are on full time employment and on those who are on part time employment).
Principle 26: Sustainability <i>“Paying adequate attention to sustainability issues including environment, social, occupational and</i>	i) Is there a Board-approved sustainability policy? Yes/No. If yes, when was it last reviewed?	Yes. The Sustainability Policy was reviewed and approved in March 2022.
	ii) How does the Board monitor compliance with the policy?	Through reports presented at Board and Committee meetings by Management.
	iii) How does the Board report compliance with the policy?	The Board Reports on Sustainability in its Annual Reports

Principles	Reporting Questions	Explanation on application or deviation
<i>community health and safety ensures successful long-term business performance and projects the Company as a responsible corporate citizen contributing to economic development”</i>	iv) Is there a Board-approved policy on diversity in the workplace? Yes/No . If yes, when was it last reviewed?	Yes. The diversity in the workplace policy was reviewed in April 2022.
Principle 27: Stakeholder Communication <i>“Communicating and interacting with stakeholders keeps them conversant with the activities of the Company and assists them in making informed decisions”</i>	i) Is there a Board-approved policy on stakeholder management and communication? Yes/No	Yes
	ii) Does the Company have an up to date investor relation portal? Yes/No If yes, provide the link.	Yes https://capplc.com/investors
Principle 28: Disclosures <i>“Full and comprehensive disclosure of all matters material to investors and stakeholders, and of matters set out in this Code, ensures proper monitoring of its implementation which engenders good corporate governance practice”</i>	i) Does the company’s annual report include a summary of the corporate governance report? Yes/No	Yes
	ii) Has the company been fined by any regulator during the reporting period? Yes/No If yes, provide details of the fines and penalties.	No.

Section F – Certification

We make this declaration in good faith and confirm that the information provided in this form is true.

Chairman, Board of Directors

Name: Mr. Folasope Aiyesimoju

Signature: 

Date: March 26, 2026

Managing Director

Name: Bolarin Okunowo

Signature: 

Date: March 26, 2026

Chairperson, Remuneration and Governance Committee

Name: Udo Okonjo

Signature: 

Date: March 26, 2026

Company Secretary

Name: Aramide Nwokediuko

Signature: 

Date: March 26, 2026